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Global EM Strategy

What If the Fed Hikes?

Morgan Stanley's economists' base case is for the Fed to hold this week and through the balance of the year. Given investor interest, we offer a few thoughts across EM credit and local markets for those that see higher risks of a hike.

Assessing EM risks to the Fed view: Our US economics team does not expect the Fed to hike at this week's meeting or for the remainder of the year (see [here](#)). The market is pricing ~8bp for this week's meeting, implying a roughly 1/3 chance of a hike, with a total of ~40bp priced by the end of the year.

Given the risk that markets are assigning to a hike at Wednesday's meeting and the frequency with which we are asked by clients for the likely reaction across EM from a hike, we offer five possible scenario ideas (three in credit, two in local markets) should the Fed hike this week. Please note that these are not current trade recommendations, as our economists' base case is for the Fed to hold. However, for clients that expect a hike, the below are hypothetical scenarios to consider.

Three credit scenarios if the Fed hikes

- **Reduce Argentina:** A Fed hike that is currently priced at only around 32% would likely trigger decompression across EM sovereign rating buckets. If accompanied by a bear flattening of the US Treasury curve, EM cash bonds also would likely underperform EM CDS. Given heavier positioning and the extent to which a Fed hike would complicate the macro outlook, Argentina's USD bonds would likely be among the initial underperformers. The market would likely interpret a more hawkish Fed as a tightening of financial conditions, including reduced domestic financing availability for the government, while Argentina's absence from external markets would be viewed as another missed issuance opportunity. As noted below, the ultimate impact should be manageable for EM, including Argentina, but it would clearly be a near-term negative and would require higher risk premia. Across the curve, the long-end would likely underperform. Meanwhile, the beta of the GDP warrants would likely be lower but may also come off a bit if the market assumes that the chances of a September issuance reduces materially.
- **Sell Kenya:** Within CEEMEA, Kenya would be among the most vulnerable credits in a Fed hike scenario, as tighter financial conditions would compound an already difficult macro backdrop and risk restricting market access just as the authorities pursue liability-management operations to smooth the external debt maturity profile. Higher core rates would also intensify the pressure from elevated energy prices given Kenya's status as a net oil importer, while we continue to see meaningful downside risks to the government's planned fiscal consolidation. With the credit currently pricing only around 0.9 notches of downgrade risk, the market would need to absorb three overlapping pressures: reduced external market access, a

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persistent energy-import shock, and weaker-than-planned fiscal consolidation. In this scenario, we think Kenya could need to price closer to 1.5 notches of rating deterioration. One possible idea would be to express the view against Nigeria, which does not depend on external market access, benefits from higher oil prices, and remains on a macro reform path.

- **Sell front-end Colombia vs Guatemala:** We expect high-quality names with strong technicals and lower imminent funding needs to outperform in this scenario. We would likely still see some spread decompression, but would expect them to outperform higher beta peers. In the IG space, this would include Chile, Peru, and Uruguay. In the BB space, this would include Guatemala and Costa Rica. We expect Colombia's funding needs to be high this year due to the repayment of arrears, which would put additional pressure on debt and fiscals in a higher rates environment, even if it was able to increase dependence on non-market funding sources. This scenario also would likely increase rollover risk for Colombia's high maturities coming due the next few years. Guatemala, on the other hand, has very strong fiscals and a lower beta, and has completed its issuance plan for the year. With Colombia's recent outperformance, spreads are near tight versus the BB space. It is now only near 30bp wide versus Guatemala in the front-end of the curve, which would be most at-risk of decompression in a Fed hike scenario for Colombia in our view.

Two local market scenarios if the Fed hikes

- **ZAR and HUF to underperform:** A hawkish FOMC outcome would likely weigh on higher-beta CEEMEA currencies. In this scenario, we would expect both USD/ZAR and EUR/HUF to move higher, although the reaction in ZAR could be more pronounced given its greater sensitivity to global risk sentiment, commodity prices, and real yields. Higher US real rates would also likely pressure gold prices, removing an important support for South Africa's terms of trade and adding further pressure on the rand. In rates, we would expect the South African curve to steepen, particularly after the recent SARB meeting signalled a more patient, wait-and-see approach. With markets already pricing around 50bp of additional tightening, the 1y1y sector appears relatively anchored, while 2y2y and 5y5y are more likely to absorb additional risk premium from a stronger USD, higher global yields, and a more hawkish Fed backdrop. As a result, we would expect the adjustment to be experienced primarily in the belly and long end of the curve, rather than at the very front end.
- **THB to underperform:** In Asia, THB and KRW could be most exposed to a Fed hike as they have the highest beta to USD and US real yields, with KRW also showing positive beta to the UST curve which could flatten. KRW could see a correction given its recent outperformance and it being in overbought territory against USD based on 14-day RSI. However, likely exporters' FX conversion flows into August and a potential reduction in foreign equity investors' FX hedges as they reduce their Korea equity holdings may help to provide some support for KRW. In contrast, THB could face additional downward pressure from higher US real yields weighing on gold prices.

Coupled with a widening interest rate differential as BoT keeps rates on hold, the BoT [signalling](#) comfort with recent THB weakness, and Thailand's exposure to risks of higher oil prices, there could be more scope for THB to weaken. In rates, Singapore, Hong Kong, and Korea should underperform in this scenario, with the first two driven by their high beta to US rates, while Korea's could be driven by the Fed hike being seen as providing more room for the BoK to tighten policy.

EM negative effects should, however, not be long-lasting: If the Fed hikes this week, the market will likely assume a more hawkish reaction function from the FOMC and price in an even higher terminal rate. The initial reaction across EM FX/FI would likely be negative, and the ideas discussed above are where clients could focus if they want to position for a Fed-hike outcome.

Investors may want to consider these tactical ideas, though, and be ready to close out quickly. Indeed, there are several reasons to think, once the dust settles, that the negative effects may not be long-lasting.

- First, if the market believes the rationale for the hike is to reinforce the inflation-fighting credentials of the FOMC, our [US rates strategy team](#) would not expect the long end of the curve to move much even as the front-end of the curve moves higher, helping EM duration.
- Second, if we examine the market reaction (T+5 days) to the various hawkish surprises the Fed delivered in the 2022 hiking cycle, and also the June 2026 meeting, we can see a difference between FOMC meetings that delivered hawkish surprises via rate hikes and those where the Fed hawkishly surprised through communication. The EM reaction to the former is mixed, while the reaction to the latter is more clearly negative.
- Third, our metrics suggest the market is going into the meeting long DXY (+49) already. EM currency returns vs USD are correlated with the change in DXY positioning.

The risks for EM currencies could be compounded should more EM central banks start surprising on the dovish side, as the South Africa Reserve Bank did last week resulting in a sharp move higher in USDZAR.

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